

SK Hynix

Outperform

Ubershortage in memory

Key Points

- 1Q26 OP was Won37.6tn (+96% QoQ), but 9% below above-consensus MQe. Gross margins was 79%; operating margin was 72%.
- Hynix expects favorable memory pricing to continue amid the structural shortage. Bringing AI to the masses requires huge memory consumption.
- Maintain Outperform/Marquee Buy; raise TP 6% as we lift EPS estimates on valuation gains at Kioxia (~33% owned by SK Hynix).

All positive narratives, but well expected

- HBM capped DRAM ASP rise.** Hynix's DRAM blended-ASP rise accelerated from mid-20s% in 4Q25 to mid-60s% in 1Q26. However, this was below our forecast and Samsung's ASP rise. Sales of big HBM declined to 20% of DRAM sales, but had a limited ASP bump. NAND blended ASP jumped by mid-70s%, expanding its NAND margin to 61%.
- Hynix downplaying investor concerns.** Per management, the spot price, recently softened, does not reflect the strong memory market. Memory optimisation technology should usher in mass adoption of AI services, growing the memory TAM. Management sees no risk of supply disruption in key components as it has diversified vendors and built out inventory. Its HBM4 rollout should be in line with the customer's timetable.
- Structural shortage in memory to persist.** We concur with Hynix that the current memory upcycle is driven by structural changes, not a temporary supply-demand imbalance. Hyperscalers are prioritising securing memory volume over pricing, while memory chips are playing a larger role in AI inference.
- LTA, ADR, and capital management.** Hynix cannot accomodate all client demand for multi-year LTA due to limited supply. However, LTA should limit downside risk even in a downturn, and reduce memory cyclicality. We expect a revised shareholder return policy this year.

Earnings changes: We raise 2026E/27E EPS by 6%/2%, which we attribute mostly to Kioxia valuation gains.

Valuation: We raise our TP 6% to Won1,800,000 (from Won1,700,000) to reflect increased earnings estimates. We maintain our low multiple target of 6x 2026E PE, which we consider justified given the EPS changes driven by valuation gains.

Catalysts: LTA contracts; early conclusion of the 2027 HBM supply contract; revised shareholder return policy.

Investment Thesis and Recommendation

We maintain Outperform/Marquee Buy on SK Hynix given undemanding valuations as ex-cash PE is now 3.2x 2026E and 1.3x 2027E. More company research [here](#).

Semicons & Semicon Equip Korea



Daniel Kim



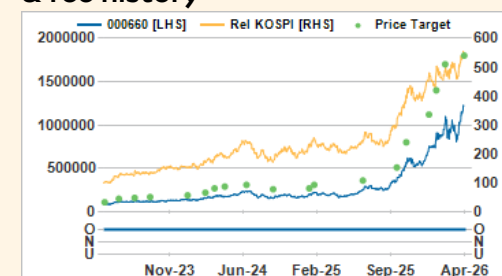
Jacob Kim

000660 KS	Outperform
Price (at 23 Apr 2026)	KRW1,225,000
12-month target	KRW1,800,000
12-month TSR (%)	47.1
Volatility Index	High
Market Cap (Local) (m)	873,060,416
Market Cap (USD) (m)	591,424
Free Float (%)	74
30-day avg turnover (USD) (m)	2,957.4

Investment Fundamentals

Year end 31 Dec	2024A	2025E	2026E	2027E
Revenue (bn)	66,193	97,147	322,408	541,564
Revenue growth (%)	102.0	46.8	231.9	68.0
EBIT (bn)	23,467	47,206	256,669	456,768
EBIT growth (%)	NM	101.2	443.7	78.0
Reported profit (bn)	19,797	42,948	213,951	340,164
Adjusted profit (bn)	19,789	42,919	213,894	340,106
EPS rep [KRW]	27,193.5	58,994.2	300,197.7	477,288.5
EPS rep growth (%)	NM	116.9	408.9	59.0
EPS adj [KRW]	27,182.2	58,954.9	300,117.1	477,207.2
EPS adj growth (%)	NM	116.9	409.1	59.0
Net debt/equity (%)	11.5	(10.5)	(49.1)	(65.7)
ROA (%)	21.3	31.9	89.2	80.0
ROE (%)	31.1	44.2	93.7	67.3
PER rep (x)	45.0	20.8	4.1	2.6
PER adj (x)	45.1	20.8	4.1	2.6
EV/EBITDA (x)	24.4	14.5	3.1	1.8
P/BV (x)	12.1	7.4	2.6	1.3
Total div yield (%)	0.2	0.2	0.1	0.3
Quant (rank vs. global sector)	5 / 657			

000660 KS rel KOSPI performance, & rec history



Source: FactSet, Macquarie Research, Apr 2026 (all figures in KRW unless noted, TP in KRW)

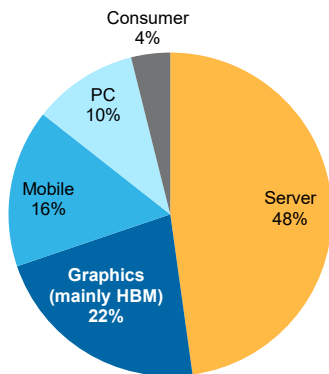
Key Risks to Investment Thesis

- Slowdown in AI infrastructure investment.
- Other gating products (power or the other upstream component) may delay AI data-centre projects.
- Wuxi DRAM fab having difficulty in tech upgrades beyond 1a nm, given no availability of EUV.
- CXMT in China making inroads in high-end DRAM market.
- Potential production hiccups and poor yield in HBM4.

Company Description

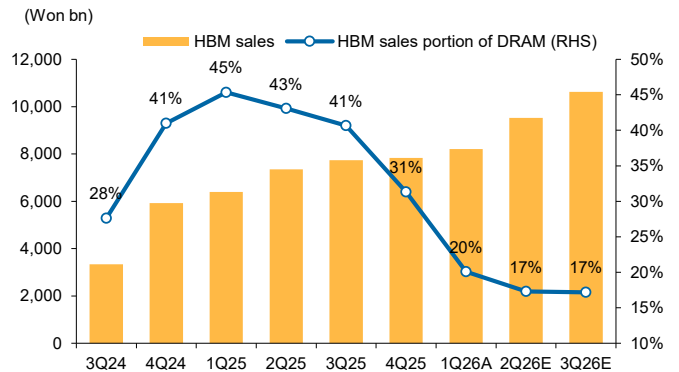
SK Hynix is considered a pure memory stock with a 70%/30% sales breakdown of DRAM/ NAND. Hynix, no. 2 DRAM player for decades, now commands similar market share as Samsung Electronic, thanks to its HBM leadership. The company has been active in NAND industry consolidation, including its Kioxia investment in 2017 and the acquisition of Intel NAND in 2020.

Figure 1 - SK Hynix: DRAM sales breakdown (1Q26)



Source: Company data, Macquarie Research, April 2026

Figure 2 - SK Hynix: HBM sales and % of sales



Source: Company data, Macquarie Research, April 2026

SK Hynix (000660 KS) KRW/(bn) unless otherwise noted

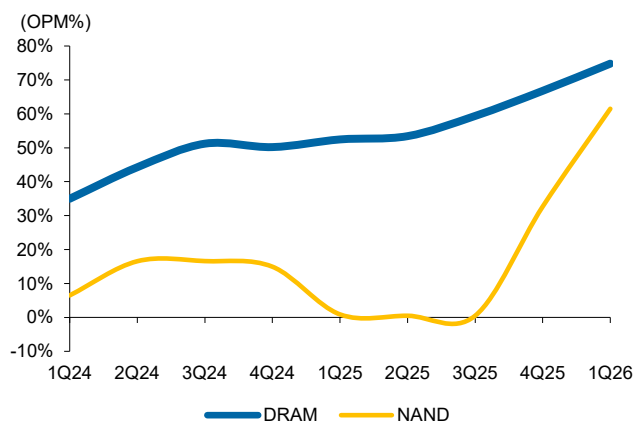
Income Statement	Dec FY	2024A	2025E	2026E	2027E	Q4/25A	Q1/26E	Balance Sheet	2024A	2025E	2026E	2027E
Revenue		66,193	97,147	322,408	541,564	32,827	52,576	Cash	14,156	34,942	177,689	453,162
Cost of Goods Sold		34,365	38,456	45,194	58,595	10,250	10,897	Receivables	13,299	18,468	68,753	110,679
Gross Profit		31,828	58,691	277,215	482,970	22,576	41,679	Inventories	13,314	14,289	13,175	16,545
EBITDA		36,049	61,136	277,239	483,681	22,740	41,339	Investments	6,522	17,172	29,604	30,806
Depreciation		12,582	13,930	20,570	26,912	3,571	3,729	Fixed Assets	60,157	77,503	95,461	117,049
Amortisation		0.0	0.0	0.0	0.0	0.0	0.0	Intangibles	4.0	4.1	4.6	5.4
EBIT		23,467	47,206	256,669	456,768	19,170	37,610	Other Assets	12,402	13,729	14,451	15,210
Net Interest Income		(1,000)	(429.4)	565.0	2,913	(46.0)	22.0	Total Assets	119,855	176,108	399,137	743,457
Associates		(38.3)	(564.6)	(27.0)	0.0	(517.5)	(27.0)	Payables	2,806	3,244	15,763	25,376
Exceptionals		0.0	0.0	0.0	0.0	0.0	0.0	Short Term Debt	5,252	8,162	4,632	3,440
Forex Gains / Losses		268.8	(448.4)	1,573	0.0	(165.8)	1,573	Long Term Debt	17,432	14,086	7,857	6,184
Other Pre-Tax Income		1,188	4,702	27,439	(0.0)	(786.9)	12,439	Other Liabilities	20,449	29,949	34,736	33,179
Pre-Tax Profit		23,885	50,466	286,219	459,682	17,653	51,617	Total Liabilities	45,940	55,441	62,988	68,178
Tax Expense		(4,088)	(7,518)	(72,268)	(119,517)	(2,407)	(11,271)	Shareholders' Funds	73,563	119,188	330,625	669,696
Net Profit		19,797	42,948	213,951	340,164	15,246	40,346	Minority Interests	12.3	150.6	208.0	266.0
Minority Interests		(8.2)	(28.6)	(57.4)	(58.0)	(26.2)	(16.0)	Other	340.6	1,328	5,317	5,317
Reported Earnings		19,797	42,948	213,951	340,164	15,246	40,346	Total S/H Equity	73,916	120,667	336,150	675,278
Adjusted Earnings		19,789	42,919	213,894	340,106	15,220	40,330	Total Liab & S/H Funds	119,855	176,108	399,137	743,457
Basic Shares Outstanding		0.7	0.7	0.7	0.7	0.7	0.7	Net Debt / Equity (%)	11.5	(10.5)	(49.1)	(65.7)
Diluted Shares Outstanding		0.7	0.7	0.7	0.7	0.7	0.7	Interest Cover (x)	23.5	109.9	NM	NM
EPS (rep) [KRW]		27,193.5	58,994.2	300,197.7	477,288.5	20,942	56,610	ROE (%)	31.1	44.2	93.7	67.3
EPS (adj) [KRW]		27,182.2	58,954.9	300,117.1	477,207.2	20,906	56,587	ROA (%)	21.3	31.9	89.2	80.0
Total DPS [KRW]		2,206.5	3,034.4	1,500.0	3,125.0	1,909	375	ROIC (%)	26.3	48.7	177.7	197.7
Ratio		2024A	2025E	2026E	2027E			Cash Flow Analysis	2024A	2025E	2026E	2027E
Revenue Growth (%)		102.0	46.8	231.9	68.0	-	-	EBITDA	36,049	61,136	277,239	483,681
EBITDA Growth (%)		506.5	69.6	353.5	74.5	-	-	Tax Paid	(4,088)	(7,518)	(72,268)	(119,517)
EBIT Growth (%)		NM	101.2	443.7	78.0	-	-	Chgs in Working Cap	2,332	3,528	17,034	28,169
EPS Growth (adj) (%)		NM	116.9	409.1	59.0	-	-	Net Interest Paid	(1,000)	(429.4)	565.0	2,913
Gross Profit Margin (%)		48.1	60.4	86.0	89.2	-	-	Other	(3,496)	(3,344)	(26,030)	(65,349)
EBITDA Margin (%)		54.5	62.9	86.0	89.3	-	-	Operating Cashflow	29,796	53,373	196,540	329,896
EBIT Margin (%)		35.5	48.6	79.6	84.3	-	-	Acquisitions	0.0	0.0	0.0	0.0
Net Profit Margin (%)		29.9	44.2	66.3	62.8	-	-	Capex	(15,946)	(27,519)	(37,907)	(48,500)
Payout Ratio (%)		8.1	5.1	0.5	0.7	-	-	Other	(2,059)	(20,535)	(6,483)	(833.0)
PE (rep) (x)		45.0	20.8	4.1	2.6	-	-	Investing Cashflow	(18,005)	(48,054)	(44,390)	(49,333)
PE (adj) (x)		45.1	20.8	4.1	2.6	-	-	Dividend (Ordinary)	(826.3)	(1,681)	(2,095)	(1,036)
EV/EBITDA (x)		24.4	14.5	3.1	1.8	-	-	Equity Raised	464.4	165.3	(361.7)	0.0
EV/EBIT (x)		37.5	18.8	3.4	1.9	-	-	Debt Movements	(7,376)	767.6	(9,759)	(2,865)
Price/Book (x)		12.1	7.4	2.6	1.3	-	-	Other	(435.9)	(852.0)	(7,370)	0.0
Total Div Yield (%)		0.2	0.2	0.1	0.3	-	-	Financing Cashflow	(8,173)	(1,600)	(19,586)	(3,901)
								Net Chg in Cash/Debt	3,618	3,719	132,564	276,663
								Free Cashflow	13,850	25,854	158,633	281,396

Source: Company data, Macquarie Research Apr 2026

Gross margin of 79% is unprecedented in the global chip industry

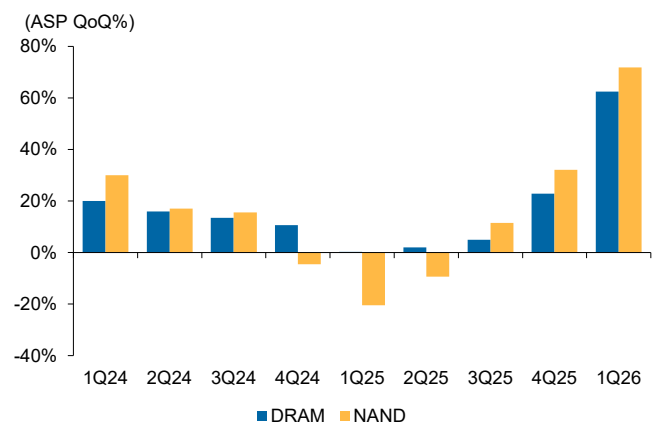
- **Impressive 1Q26 print.** Strong memory prices allowed Hynix to nearly double its OP QoQ, to Won37.6tn. Incremental revenue of Won20tr in 1Q26 was slightly above the incremental OP of Won18tr, showing significant operating leverage. Blended DRAM ASP rose mid-60s% QoQ, below our forecast 70%. We believe Hynix was less aggressive on 1Q26 contract prices than its crosstown rival, while HBM price was capped due to annual contract price. NAND price jumped from a 32% increase in 4Q25 to mid-70s% in 1Q26, driven by robust eSSD demand.
- **Strong beat in below OP line.** Non-OP items jumped to Won14.01tn, driven by FX gains of Won1.57tn and Kioxia valuation gains of Won9.94tn. Kioxia's share price soared 68% in 1Q26, so Hynix's net profits were 32% above our forecast.
- **HBM sales were largely flat QoQ.** The combined sales of server and graphics (mostly HBM) accounted for 70% of its DRAM sales in 1Q26. In the meanwhile, the mobile and PC DRAM sales mix continued to dwindle. We estimate HBM sales were largely flat at Won8.2tr in 1Q26.
- **Capex substantially higher in 2026.** In our view, it is not surprising that Hynix is guiding 2026 capex to rise significantly due to SPE spending in M15X fab ramp-up and Yong-In fab infrastructure investment. Still, the capex-sales ratio should be 12%, near the lower end of its historic band.

Figure 3 - SK Hynix: Both DRAM and NAND reached 60+% OPM



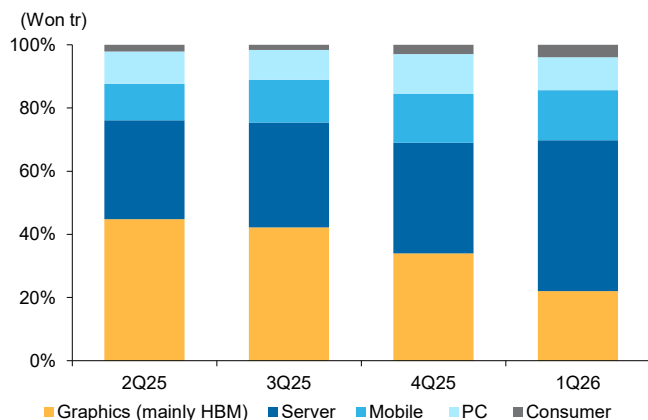
Source: Company data, Macquarie Research, April 2026

Figure 4 - SK Hynix: NAND ASP spiking more rapidly



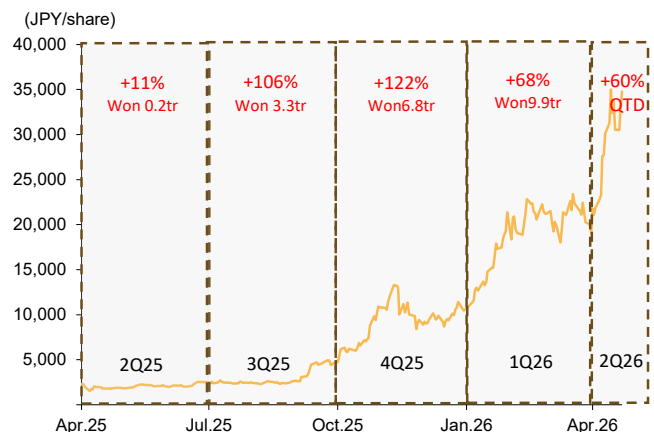
Source: Company data, Macquarie Research, April 2026

Figure 5 - SK Hynix: Server DRAM is now larger than HBM sales



Source: Company data, Macquarie Research, April 2026

Figure 6 - SK Hynix: Valuation gain on Kioxia holding



Source: Bloomberg, Macquarie Research, April 2026

Figure 7 - SK Hynix: 1Q26 earnings summary

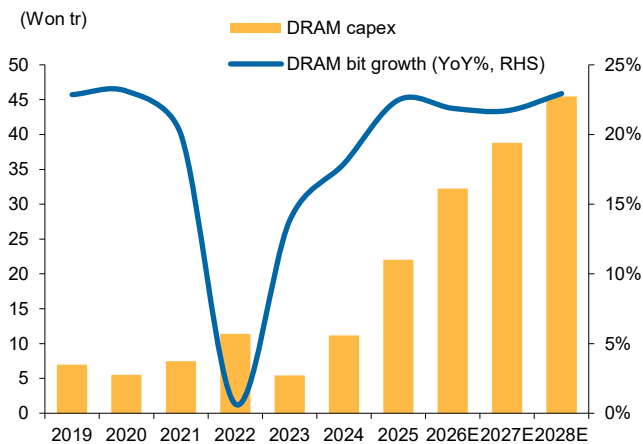
(Won tr)	Actual 1Q26	MQe 1Q26	%Diff	Actual 4Q25	Actual 1Q25	%QoQ	%YoY
Sales	52.58	55.20	-5%	32.83	17.64	60%	198%
DRAM	40.88	41.07	0%	25.00	14.11	64%	190%
NAND	11.42	13.86	-18%	7.51	3.18	52%	259%
OP	37.61	41.53	-9%	19.17	7.44	96%	405%
RP	51.62	41.43	25%	17.65	9.30	192%	455%
NP	40.33	30.65	32%	15.22	8.11	165%	397%
EBITDA	41.34	46.50	-11%	22.74	10.79	82%	283%
Capex	7.66	8.60	-11%	11.87	6.28	-35%	22%
D&A	3.73	4.98	-25%	3.57	3.35	4%	11%
Net DE ratio	-21%	-23%	2.0%p	-11%	11%	-10.5%p	-32.1%p
Margin							
OPM	71.5%	75.2%	-3.7%p	58.4%	42.2%	13.1%p	29.4%p
RPM	98.2%	75.1%	23.1%p	53.8%	52.7%	44.4%p	45.5%p
NPM	76.7%	55.5%	21.2%p	46.4%	46.0%	30.3%p	30.7%p
EBITDA M	78.6%	84.2%	-5.6%p	69.3%	61.1%	9.4%p	17.5%p
Sales mix (%)							
DRAM	78%	74%	3.4%p	76%	80%	1.6%p	-2.2%p
NAND	22%	25%	-3.4%p	23%	18%	-1.2%p	3.7%p
Earnings driver							
DRAM							
Bit growth (QoQ)	0%	0%	-0.5%p	2%	-8%	-2.5%p	7.5%p
ASP growth (QoQ)	63%	70%	-7.5%p	23%	2%	39.6%p	60.5%p
NAND							
Bit growth (QoQ)	-12%	-3%	-9.4%p	10%	-18%	-22.3%p	5.6%p
ASP growth (QoQ)	72%	97%	-25.2%p	32%	-21%	39.7%p	92.3%p

Source: Company data, Macquarie Research, April 2026

Positive memory prospects

- **Hynix dismisses investor concerns.** Management believes the spot price, recently softened, does not reflect the strong memory market. The spot market not only accounts for a tiny portion of the total memory market, but also trades different types of memory products than those with which Hynix deals. Memory-optimising technology such as Google's TurboQuant should usher in mass adoption of AI services, eventually growing memory TAM. Management sees no significant risk of supply disruption in key components (e.g., helium, bromine, tungsten) as it has diversified vendors and sufficient inventory.
- **Structural memory shortage here to stay.** Memory has become more critical in the AI compute market. This is why IT companies are competitively scrambling for memory supply. Memory vendors find it hard to increase supply in the short term. Accordingly, management sees a high possibility that the memory upcycle is likely to last longer than any other in history.
- **Touts HBM leadership.** Hynix plans to increase HBM4 volume according to the agreed schedule with its client. The company stresses that from the client's perspective, overall performance matters (such as chip speed, power, yield, and supply stability). Its HBM4E will use the proven 1c nm as a core die, while the base die is under development. We note that client demand for Hynix HBM far exceeds Hynix capacity for the next three years.
- **New shareholder return policy will be ready within this year.** We believe the goal of a net cash position over Won100tn is compatible with the expanding shareholder return policy, given the rapidly rising cash balance. We expect the reiteration of share buybacks/cancellations and then the issue of new ADR shares in the next three years. This would be positive for the re-rating, in our view, as it could capture the likely US market premium.

Figure 8 - SK Hynix: Limited DRAM bit growth, despite rising capex



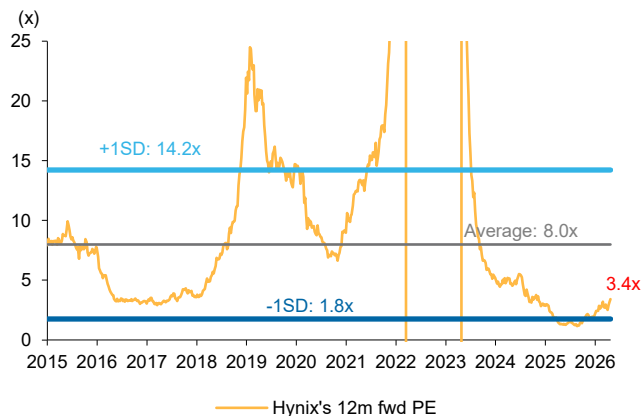
Source: Company data, Macquarie Research, April 2026

Figure 9 - SK Hynix: Won250tn cash pocket could be used to enhance shareholder returns by end-2027E

(Won tr)	2025	2026E	2027E
NP	42.9	214.0	340.2
+ D&A	13.9	20.6	26.9
- Capex	27.5	37.9	48.5
- Non-cash gains (i.e. Kioxia holdings)	4.7	27.4	
FCF	24.7	169.2	318.6
FCF pledged for shareholder return (50%)	12.3	84.6	159.3
- Dividend paid	2.1	1.0	1.0
<i>DPS assumption (Won)</i>	<i>3,034</i>	<i>1,500</i>	<i>1,500</i>
Remainder of FCF	10.2	83.6	158.3
Available for extra shareholder returns			252.0
Condition: Net cash >= Budget for reinvestment			
Net cash balance >=	12.7	165.2	443.5
Annual capex budget (approx. 35% of sales)	34.0	112.8	189.5

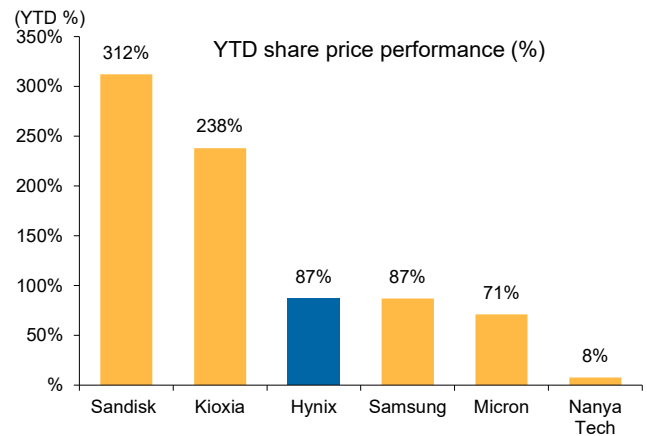
Source: Company data, Macquarie Research, April 2026

Figure 10 - SK Hynix: P/E chart



Source: Company data, Macquarie Research, April 2026

Figure 11 - Memory share price performance



Source: Bloomberg, Macquarie Research, April 2026

Figure 12 - SK Hynix: We raise our respective 2026E/27E EPS estimates by 8%/4%

(Won tr)	2026E			2027E			2Q26E			3Q26E		
	Old	New	%Chg	Old	New	%Chg	Old	New	%Chg	Old	New	%Chg
Sales	331.0	322.4	-3%	519.1	541.6	4%	78.4	75.1	-4%	92.8	91.6	-1%
OP	272.3	256.7	-6%	447.2	456.8	2%	63.9	59.4	-7%	77.9	74.8	-4%
RP	272.5	286.2	5%	449.4	459.7	2%	63.9	74.5	17%	78.0	75.0	-4%
NP	201.6	213.9	6%	332.5	340.1	2%	47.3	55.1	17%	57.7	55.5	-4%
EBITDA	293.8	277.2	-6%	473.7	483.7	2%	69.1	64.7	-6%	83.4	80.4	-4%
EPS (Won)	276,927	300,117	8%	456,765	477,207	4%	64,907	77,307	19%	79,240	77,827	-2%
% of sales												
OPM	82%	80%	-2.6%p	86%	84%	-1.8%p	81%	79%	-2.3%p	84%	82%	-2.2%p
RPM	82%	89%	6.5%p	87%	85%	-1.7%p	81%	99%	17.7%p	84%	82%	-2.1%p
NPM	61%	66%	5.4%p	64%	63%	-1.3%p	60%	73%	13.1%p	62%	61%	-1.6%p
EBITDA M	89%	86%	-2.8%p	91%	89%	-2.0%p	88%	86%	-1.9%p	90%	88%	-2.1%p
Sales breakdown												
DRAM sales	234.4	228.6	-2%	358.0	373.6	4%	57.1	55.1	-4%	63.6	61.9	-3%
HBM sales	40.9	41.3	1%	76.6	97.1	27%	9.4	9.5	1%	10.5	10.6	1%
NAND sales	95.4	92.6	-3%	159.8	166.7	4%	21.0	19.7	-6%	29.0	29.4	2%
OP breakdown												
DRAM OP	197.0	185.0	-6%	310.5	319.7	3%	47.9	44.3	-8%	53.9	50.8	-6%
NAND OP	75.2	71.6	-5%	136.6	137.0	0%	16.0	15.1	-5%	24.0	24.0	0%
OPM by division												
DRAM OPM	84%	81%	-3.1%p	87%	86%	-1.1%p	84%	80%	-3.5%p	85%	82%	-2.6%p
NAND OPM	79%	77%	-1.5%p	85%	82%	-3.3%p	76%	77%	0.8%p	83%	81%	-1.4%p
Earnings driver												
DRAM Bit growth	21%	22%	0.7%p	23%	22%	-0.9%p	7%	9%	1.5%p	3%	3%	0.0%p
DRAM ASP growth	161%	151%	-10.0%p	29%	35%	6.2%p	30%	30%	0.0%p	8%	9%	1.0%p
HBM Bit growth	39%	38%	-0.2%p	55%	55%	0.0%p	15%	22%	6.3%p	10%	10%	0.0%p
HBM ASP growth	2%	2%	0.3%p	25%	53%	27.7%p	0%	0%	0.0%p	1%	1%	0.0%p
NAND Bit growth	27%	23%	-3.6%p	30%	31%	1.4%p	6%	16%	10.4%p	15%	15%	0.0%p
NAND ASP growth	276%	273%	-2.6%p	34%	38%	4.2%p	43%	55%	12.0%p	20%	30%	10.0%p
Others												
Capex	38.9	37.9	-2%	48.5	48.5	0%	9.9	9.9	0%	10.4	10.4	0%
Depreciation & amortization	21.6	20.6	-5%	26.6	26.9	1%	5.2	5.3	1%	5.5	5.6	1%
Effective tax rate	26%	25%	-0.8%p	26%	26%	0.0%p	26%	26%	0.0%p	26%	26%	0.0%p
Won/US\$ rate	1,400	1,416	1%	1,350	1,400	4%	1,400	1,400	0%	1,400	1,400	0%

Source: Macquarie Research, April 2026

Figure 13 - SK Hynix: Quarterly earnings snapshot (2023-25)

(Won tr)	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25
Sales	5.09	7.31	9.07	11.31	12.43	16.42	17.57	19.77	17.64	22.23	24.45	32.83
OP	-3.40	-2.88	-1.79	0.35	2.89	5.47	7.03	8.08	7.44	9.21	11.38	19.17
RP	-3.53	-3.79	-2.47	-1.87	2.37	5.05	6.88	9.58	9.30	8.72	14.79	17.65
NP	-2.58	-2.99	-2.18	-1.36	1.92	4.12	5.75	8.00	8.11	7.00	12.60	15.22
EBITDA	0.16	0.63	1.56	3.60	6.08	8.60	10.11	11.26	10.79	12.67	14.94	22.74
Margin												
OPM	-67%	-39%	-20%	3%	23%	33%	40%	41%	42%	41%	47%	58%
RPM	-69%	-52%	-27%	-17%	19%	31%	39%	48%	53%	39%	60%	54%
NPM	-51%	-41%	-24%	-12%	15%	25%	33%	40%	46%	31%	52%	46%
EBITDA M	3%	9%	17%	32%	49%	52%	58%	57%	61%	57%	61%	69%
Balance sheet												
Inventory	17.18	16.42	14.95	13.48	13.84	13.35	13.35	13.31	14.55	13.41	13.16	14.29
Total debt	28.76	30.81	31.56	29.47	29.51	25.23	21.84	22.68	23.33	21.84	24.08	22.25
Cash & equiv	6.14	7.49	8.53	8.92	10.32	9.69	10.86	14.16	14.31	16.96	27.85	34.94
Net debt	22.62	23.32	23.03	20.55	19.19	15.54	10.99	8.53	9.02	4.88	-3.78	-12.69
Equity	61.01	57.46	55.23	53.50	55.51	59.83	65.30	73.92	81.44	87.14	100.01	120.67
Net DE ratio	37%	41%	42%	38%	35%	26%	17%	12%	11%	6%	-4%	-11%
ROE	-17%	-20%	-16%	-10%	14%	29%	37%	46%	42%	33%	54%	55%
BVPS	83,803	78,927	75,867	73,494	76,246	82,184	89,700	101,532	111,866	119,701	137,371	165,751
Cash flow statement												
D&A	3.56	3.51	3.35	3.25	3.19	3.13	3.08	3.17	3.35	3.45	3.56	3.57
Capex	3.15	1.93	1.51	1.73	3.10	2.06	3.51	7.27	6.28	4.33	5.03	11.87
Free cash flow	-2.18	-1.41	-0.35	0.15	2.01	5.19	5.33	3.91	5.17	6.12	11.12	6.95
Earnings driver												
HBM sales portion (DRAM)	8%	11%	16%	16%	16%	24%	28%	40%	45%	43%	41%	31%
HBM bit portion (DRAM)	1%	2%	3%	3%	4%	7%	8%	12%	14%	13%	13%	12%
DRAM total bit (1GB bn)	1.40	1.91	2.31	2.38	2.03	2.46	2.40	2.56	2.36	2.90	3.12	3.18
%QoQ	-20%	37%	21%	3%	-15%	21%	-2%	7%	-8%	23%	8%	2%
DRAM ASP (US\$/1GB)	1.64	1.79	1.99	2.35	2.82	3.27	3.71	4.10	4.11	4.19	4.40	5.41
%QoQ	-17%	9%	11%	18%	20%	16%	14%	11%	2%	2%	5%	23%
HBM total bit (1GB bn)	0.02	0.03	0.07	0.08	0.08	0.16	0.19	0.32	0.32	0.37	0.40	0.38
%QoQ	-36%	94%	106%	21%	0%	97%	20%	66%	0%	17%	7%	-4%
HBM ASP (US\$/1GB)	11.20	11.20	11.20	11.20	11.20	12.00	12.80	13.29	13.82	14.00	13.99	14.13
%QoQ	0%	0%	0%	0%	0%	7%	7%	4%	4%	1%	0%	1%
NAND total bit (1GB bn)	27.69	40.71	43.31	41.89	42.30	41.58	35.39	33.58	27.54	46.79	44.40	48.80
%QoQ	-15%	47%	6%	-3%	1%	-2%	-15%	-5%	-18%	70%	-5%	10%
NAND ASP (US\$/1GB)	0.05	0.04	0.04	0.06	0.08	0.09	0.10	0.10	0.08	0.07	0.08	0.11
%QoQ	-10%	-10%	-1%	40%	30%	17%	16%	-5%	-21%	-9%	12%	32%
Sales breakdown												
DRAM	2.92	4.51	6.04	7.39	7.58	11.01	12.08	14.68	14.11	17.07	19.03	25.00
HBM	0.24	0.48	0.99	1.20	1.21	2.63	3.34	5.92	6.40	7.35	7.74	7.83
NAND	1.69	2.29	2.41	3.29	4.35	5.16	5.04	4.69	3.18	4.73	4.94	7.51
Sales mix												
DRAM	57%	62%	67%	65%	61%	66%	69%	74%	80%	77%	78%	76%
HBM	5%	7%	11%	11%	10%	16%	19%	30%	36%	33%	32%	24%
NAND	33%	31%	27%	29%	35%	31%	29%	24%	18%	21%	20%	23%
OP breakdown												
DRAM	-1.56	-0.14	0.56	1.64	2.65	4.87	6.19	7.37	7.40	9.12	11.30	16.70
NAND	-1.89	-2.64	-2.19	-1.23	0.28	0.85	0.84	0.70	0.03	0.02	0.02	2.46
OPM by division												
DRAM	-53%	-3%	9%	22%	35%	44%	51%	50%	52%	53%	59%	67%
NAND	-112%	-116%	-91%	-37%	6%	17%	17%	15%	1%	0%	0%	33%

Source: Company data, Macquarie Research, April 2026

Figure 14 - SK Hynix: Quarterly earnings estimates (2026E-28E)

(Won tr)	1Q26A	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E
Sales	52.58	75.09	91.61	103.13	102.60	121.05	151.89	166.02	158.56	180.70	206.34	218.83
OP	37.61	59.42	74.79	84.85	83.89	100.63	129.67	142.58	134.52	155.88	179.48	190.21
RP	51.62	74.47	74.98	85.16	84.34	101.25	130.47	143.62	135.86	157.60	181.65	192.96
NP	40.33	55.10	55.47	63.00	62.40	74.91	96.54	106.26	100.52	116.61	134.41	142.78
EBITDA	41.34	64.71	80.40	90.78	90.10	107.14	136.54	149.90	142.20	163.93	187.99	199.29
Margin												
OPM	72%	79%	82%	82%	82%	83%	85%	86%	85%	86%	87%	87%
RPM	98%	99%	82%	83%	82%	84%	86%	87%	86%	87%	88%	88%
NPM	77%	73%	61%	61%	61%	62%	64%	64%	63%	65%	65%	65%
EBITDA M	79%	86%	88%	88%	88%	89%	90%	90%	90%	91%	91%	91%
Balance sheet												
Inventory	15.97	11.56	12.13	13.18	13.62	14.76	15.75	16.55	17.15	17.35	18.76	20.10
Total debt	19.32	16.58	14.33	12.49	10.97	10.49	10.04	9.62	8.53	8.16	7.82	7.49
Cash & equiv	54.33	90.26	128.61	177.69	233.02	290.23	361.71	453.16	549.19	644.58	754.50	881.47
Net debt	-35.01	-73.68	-114.27	-165.20	-222.05	-279.74	-351.67	-443.54	-540.66	-636.42	-746.68	-873.97
Equity	164.38	218.17	273.39	336.15	398.30	472.97	569.26	675.28	775.56	890.80	1,024.97	1,167.50
Net DE ratio	-21%	-34%	-42%	-49%	-56%	-59%	-62%	-66%	-70%	-71%	-73%	-75%
ROE	113%	115%	90%	83%	68%	69%	74%	68%	55%	56%	56%	52%
BVPS	230,410	305,868	383,332	471,363	558,550	663,292	798,380	947,117	1,087,801	1,249,478	1,437,706	1,637,673
Cash flow statement												
D&A	3.73	5.30	5.61	5.93	6.21	6.50	6.88	7.32	7.68	8.05	8.52	9.08
Capex	7.66	9.90	10.35	10.00	10.50	12.00	13.50	12.50	13.13	15.00	16.88	15.63
Free cash flow	36.42	50.51	50.74	58.95	58.12	69.43	89.93	101.10	95.09	109.67	126.07	136.25
Earnings driver												
HBM sales portion (DRAM)	20%	17%	17%	18%	22%	28%	26%	27%	27%	30%	33%	36%
HBM bit portion (DRAM)	13%	14%	15%	16%	16%	18%	19%	20%	21%	22%	23%	23%
DRAM total bit (1GB bn)	3.17	3.44	3.54	3.93	3.62	3.98	4.66	4.89	4.70	5.17	5.48	5.75
%QoQ	0%	9%	3%	11%	-8%	10%	17%	5%	-4%	10%	6%	5%
DRAM ASP (US\$/1GB)	8.80	11.44	12.47	12.84	13.48	14.42	16.16	17.45	18.15	18.51	19.25	19.44
%QoQ	63%	30%	9%	3%	5%	7%	12%	8%	4%	2%	4%	1%
HBM total bit (1GB bn)	0.40	0.48	0.53	0.63	0.58	0.72	0.89	0.98	0.99	1.14	1.26	1.32
%QoQ	4%	22%	10%	18%	-8%	24%	24%	11%	1%	15%	11%	5%
HBM ASP (US\$/1GB)	14.13	14.13	14.27	14.70	18.37	22.41	21.97	23.72	23.72	25.38	27.42	30.16
%QoQ	0%	0%	1%	3%	25%	22%	-2%	8%	0%	7%	8%	10%
NAND total bit (1GB bn)	42.75	49.76	57.22	56.65	58.92	66.57	71.90	73.34	72.60	80.59	87.04	90.52
%QoQ	-12%	16%	15%	-1%	4%	13%	8%	2%	-1%	11%	8%	4%
NAND ASP (US\$/1GB)	0.18	0.28	0.37	0.40	0.41	0.43	0.46	0.45	0.44	0.47	0.54	0.55
%QoQ	72%	55%	30%	10%	2%	5%	6%	-2%	-2%	7%	15%	2%
Sales breakdown												
DRAM	40.88	55.10	61.86	70.72	68.32	80.41	105.37	119.49	115.04	129.07	142.29	150.90
HBM	8.21	9.53	10.62	12.95	14.90	22.49	27.22	32.49	31.58	38.94	46.61	53.84
NAND	11.42	19.69	29.44	32.06	34.01	40.35	46.20	46.18	43.20	51.31	63.73	67.60
Sales mix												
DRAM	78%	73%	68%	69%	67%	66%	69%	72%	73%	71%	69%	69%
HBM	16%	13%	12%	13%	15%	19%	18%	20%	20%	22%	23%	25%
NAND	22%	26%	32%	31%	33%	33%	30%	28%	27%	28%	31%	31%
OP breakdown												
DRAM	30.58	44.28	50.82	59.36	56.73	67.66	91.22	104.06	99.30	112.71	125.11	133.37
NAND	7.02	15.12	23.95	25.47	27.16	32.95	38.43	38.49	35.20	43.15	54.34	56.81
OPM by division												
DRAM	75%	80%	82%	84%	83%	84%	87%	87%	86%	87%	88%	88%
NAND	61%	77%	81%	79%	80%	82%	83%	83%	81%	84%	85%	84%

Source: Company data, Macquarie Research, April 2026

Figure 15 - SK Hynix annual earnings snapshot

(Won tr)	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales	30.1	40.4	27.0	31.9	43.0	44.6	32.8	66.2	97.1	322.4	541.6	764.4
OP	13.7	20.8	2.7	5.0	12.4	6.8	-7.7	23.5	47.2	256.7	456.8	660.1
RP	13.4	21.3	2.4	6.2	13.4	4.0	-11.7	23.9	50.5	286.2	459.7	668.1
NP	10.6	15.5	2.0	4.8	9.6	2.2	-9.1	19.8	42.9	213.9	340.1	494.3
EBITDA	18.7	27.3	11.3	14.8	23.1	21.0	5.9	36.0	61.1	277.2	483.7	693.4
%YoY growth												
Sales	75%	34%	-33%	18%	35%	4%	-27%	102%	47%	232%	68%	41%
OP	319%	52%	-87%	84%	148%	-45%	-214%	-404%	101%	444%	78%	45%
RP	318%	59%	-89%	156%	115%	-70%	-391%	-305%	111%	467%	61%	45%
NP	260%	46%	-87%	137%	102%	-77%	-509%	-317%	117%	398%	59%	45%
EBITDA	142%	45%	-58%	30%	56%	-9%	-72%	507%	70%	353%	74%	43%
Margin												
OPM	46%	52%	10%	16%	29%	15%	-24%	35%	49%	80%	84%	86%
RPM	45%	53%	9%	20%	31%	9%	-36%	36%	52%	89%	85%	87%
NPM	35%	38%	7%	15%	22%	5%	-28%	30%	44%	66%	63%	65%
EBITDA M	62%	67%	42%	46%	54%	47%	18%	54%	63%	86%	89%	91%
Balance sheet												
Inventory	2.6	4.4	5.3	6.1	9.0	15.7	13.5	13.3	14.3	13.2	16.5	20.1
Total debt	4.2	5.3	10.5	11.3	17.6	23.0	29.5	22.7	22.2	12.5	9.6	7.5
Cash & equiv	7.6	8.4	4.0	4.9	8.7	6.4	8.9	14.2	34.9	177.7	453.2	881.5
Net debt	-3.5	-3.1	6.5	6.3	9.0	16.6	0.0	8.5	-12.7	-165.2	-443.5	-874.0
Equity	33.8	46.9	47.9	51.9	62.2	63.3	53.5	73.9	120.7	336.1	675.3	1,167.5
Net DE ratio	-10%	-7%	14%	12%	14%	26%	38%	12%	-11%	-49%	-66%	-75%
ROE	37%	39%	4%	10%	17%	4%	-16%	31%	44%	94%	67%	54%
BVPS	46,457	64,357	65,846	71,275	85,380	86,904	73,495	101,515	165,544	471,363	947,117	1,637,673
Cash flow statement												
D&A	5.0	6.4	8.6	9.8	10.7	14.2	13.7	12.6	13.9	20.6	26.9	33.3
Capex	9.1	16.0	13.9	10.1	12.5	19.0	8.3	15.9	27.5	37.9	48.5	60.6
Free cash flow	6.5	5.9	-3.3	4.5	7.8	-2.6	-3.8	16.4	29.4	196.6	318.6	467.1
Earnings driver												
HBM sales portion (DRAM)						4%	14%	29%	39%	18%	26%	32%
HBM bit portion (DRAM)						1%	2%	8%	13%	14%	18%	22%
DRAM total bit (1GB bn)	3.20	3.85	4.73	5.82	6.99	7.03	8.01	9.44	11.56	14.09	17.15	21.09
%YoY	25%	20%	23%	23%	20%	1%	14%	18%	22%	22%	22%	23%
DRAM ASP (US\$/1GB)	6.34	7.64	3.81	3.40	3.87	3.17	1.99	3.51	4.57	11.49	15.56	18.87
%YoY	52%	20%	-50%	-11%	14%	-18%	-37%	77%	30%	151%	35%	21%
HBM total bit (1GB bn)						0.09	0.20	0.75	1.47	2.04	3.16	4.70
%YoY							128%	281%	96%	38%	55%	49%
HBM ASP (US\$/1GB)						11.20	11.20	12.67	13.99	14.34	21.95	26.92
%YoY							0%	13%	10%	2%	53%	23%
NAND total bit (1GB bn)	19.64	26.72	40.81	58.13	89.61	129.62	153.60	152.86	167.53	206.38	270.73	330.75
%YoY	16%	36%	53%	42%	54%	45%	19%	0%	10%	23%	31%	22%
NAND ASP (US\$/1GB)	0.30	0.25	0.11	0.11	0.10	0.09	0.05	0.09	0.09	0.32	0.44	0.51
%YoY	33%	-17%	-56%	2%	-10%	-16%	-44%	92%	-7%	273%	38%	15%
Sales breakdown												
DRAM	22.88	32.38	21.01	23.31	30.99	28.44	20.86	45.35	75.21	228.56	373.59	537.31
HBM						1.27	2.90	13.09	29.32	41.31	97.10	170.97
NAND	6.69	7.39	5.32	7.82	10.50	14.18	9.68	19.24	20.37	92.62	166.73	225.84
Sales mix												
DRAM	76%	80%	78%	73%	72%	64%	64%	68%	77%	71%	69%	70%
HBM						3%	9%	20%	30%	13%	18%	22%
NAND	22%	18%	20%	25%	24%	32%	30%	29%	21%	29%	31%	30%
OP breakdown												
DRAM	12.53	19.71	5.91	6.54	12.07	7.83	0.50	21.08	44.52	185.04	319.66	470.49
NAND	1.01	0.98	-3.30	-1.68	0.11	-1.15	-7.95	2.67	2.53	71.56	137.02	189.51
OPM by division												
DRAM	55%	61%	28%	28%	39%	28%	2%	46%	59%	81%	86%	88%
NAND	15%	13%	-62%	-22%	1%	-8%	-82%	14%	12%	77%	82%	84%

Source: Company data, Macquarie Research, April 2026

Key Quant Findings
(top 5% of the Macquarie Quant Alpha model)

The quant model currently holds a strong positive view on SK Hynix. The strongest style exposure is Price Momentum, indicating this stock has had strong medium to long term returns which often persist into the future. The weakest style exposure is Valuations, indicating this stock is over-priced in the market relative to its peers.

Macquarie Alpha Model: Key rankings

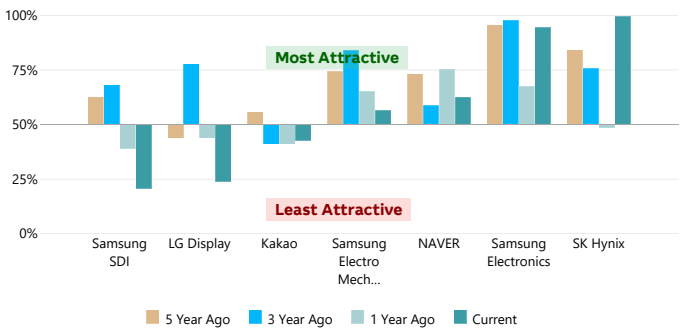
The Macquarie Quant's flagship Alpha model is a dynamic multi-factor model based on a staple of quant factors such as value, momentum, revisions, quality, and risk.

	Global	Market (Country)	Sector
	Whole Universe	Korea	Semiconductors & Semiconductor Equip.
Macquarie Alpha Model	158/17994	2/780	5/657
Fundamental (Consensus) *	2832/17994	183/780	116/657

* based on Total Shareholder Return = Consensus Price target / Current Price

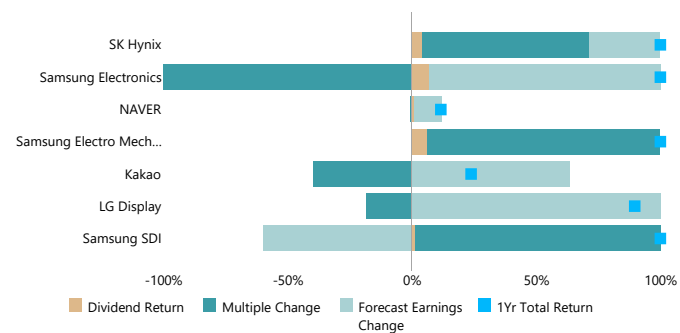
Current and Historical Alpha Model Rank

The chart shows the Macquarie Alpha model market ranking against the company's peers and over recent history.



Drivers of Stock Return

Breakdown of 1-year total return (local currency) into returns from dividends, changes in forward earnings estimates and the resulting change in earnings multiple.



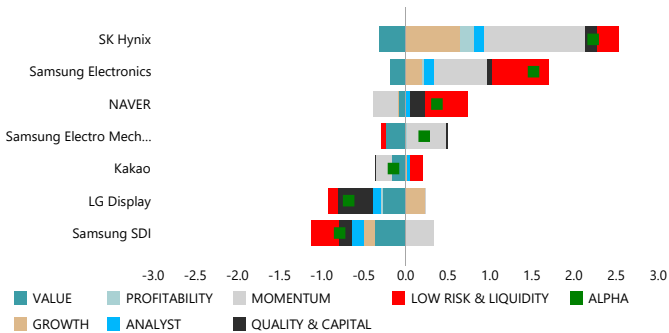
Alpha Model Decomposition

The Macquarie Alpha is decomposed into its sector and market relative factor & styles exposures (a higher/better percentile is coded in green, whilst lower in red).

Factors / Styles	Percentile relative to		Core factors in definition
	sectors (/657)	market (/780)	
ALPHA	99%	100%	Built from the styles below
VALUE	60%	35%	Book, CF, Yield, Earnings Multiples
ANALYST	92%	96%	Revisions (Earnings, Recommendations)
MOMENTUM	96%	99%	Price Momentum
GROWTH	93%	100%	EPS, Sales (Forecast, Historic)
PROFITABILITY	96%	97%	ROE, Margin, Asset Turnover
QUALITY	81%	82%	Accruals, Earn Stability, Cash Conversion
CAPITAL	76%	69%	Investment/Capex, Net share issuance
LIQUIDITY	100%	100%	Size, Turnover, Analyst Coverage
LOW RISK	54%	34%	Beta, Volatility, Earn.Cert, Leverage
TECHNICAL	57%	35%	MACD, RSI, Bollinger, Williams R, etc

Factors driving the Alpha Model vs peers

For the comparable firms this chart shows the key underlying styles and their contribution to the current overall raw Alpha score.



Macquarie Style Returns over last year

Recent performance to Macquarie style factors

Asia Ex JP	Monthly Factor Long-Short Returns for												Last 5 Years (ann)	Last 10 Years (ann)
	Mar - 26	Feb - 26	Jan - 26	Dec - 25	Nov - 25	Oct - 25	Sep - 25	Aug - 25	Jul - 25	Jun - 25	May - 25	Apr - 25		
ALPHA	4%	0%	0%	3%	3%	2%	-3%	-6%	-7%	-1%	1%	0%	0%	0%
VALUE	6%	0%	-2%	3%	5%	4%	-4%	-4%	-3%	2%	4%	-2%	0%	0%
ANALYST	-2%	0%	6%	5%	-2%	3%	4%	1%	-3%	4%	0%	-1%	0%	0%
MOMENTUM	-4%	5%	8%	6%	-1%	-2%	0%	-6%	-6%	-2%	2%	0%	0%	0%
GROWTH	-4%	-1%	4%	2%	-2%	0%	5%	8%	0%	1%	0%	-1%	0%	0%
PROFITABILITY	3%	0%	-4%	1%	3%	0%	-4%	-2%	-6%	1%	3%	1%	0%	0%
QUALITY	2%	-1%	-4%	-1%	1%	-4%	-6%	1%	-3%	-4%	0%	1%	0%	0%
CAPITAL	2%	-2%	2%	-1%	3%	-3%	-1%	-2%	-1%	-1%	0%	0%	0%	0%
LIQUIDITY	-1%	3%	1%	2%	-1%	-1%	3%	3%	-2%	1%	2%	0%	0%	0%
LOW RISK	6%	-2%	-8%	-2%	5%	1%	-6%	-11%	-9%	-5%	-1%	4%	0%	0%

Source (all charts): FactSet, Refinitiv, and Macquarie Quant. For more details on the Macquarie Alpha model or for more customised analysis and screens, please contact the Macquarie Global Quantitative Team: maccapequitiesresearchquantglobal@macquarie.com. Explanation for items on this page can be found at <https://www.macquarieinsights.com/rp/d/r/p/OTUyMzg1>

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Important Disclosures

Recommendation definitions	Volatility index definition	Financial definitions
Macquarie – Asia and USA Outperform – expected return >10% Neutral – expected return from -10% to +10% Underperform – expected return <-10% Macquarie – Australia/New Zealand Outperform – expected return >10% Neutral – expected return from 0% to 10% Underperform – expected return <0% During periods of share price volatility, recommendations and target prices may occasionally and temporarily be inconsistent with the above definitions. Recommendations – 12 months 12-month target – Expected share price in 12 months Valuation – The company's estimated fair value share price based on the disclosed valuation methodology Note: Quant recommendations may differ from Fundamental Analyst recommendations	This is calculated from the volatility of historical price movements. Very high – highest risk – Stock should be expected to move up or down 60–100% in a year – investors should be aware this stock is highly speculative. High – stock should be expected to move up or down at least 40–60% in a year – investors should be aware this stock could be speculative. Medium – stock should be expected to move up or down at least 25–40% in a year. Low – stock should be expected to move up or down at least 15–25% in a year. * Applicable to select stocks in Asia/Australia/NZ Note: expected return is reflective of a Medium Volatility stock and should be assumed to adjust proportionately with volatility risk	All "Adjusted" data items have had the following adjustments made: Added back: goodwill amortisation, provision for catastrophe reserves, IFRS derivatives & hedging, IFRS impairments & IFRS interest expense Excluded: non recurring items, asset revals, property revals, appraisal value uplift, preference dividends & minority interests EPS = adjusted net profit / efpowa* ROA = adjusted ebit / average total assets ROA Banks/Insurance = adjusted net profit / average total assets ROE = adjusted net profit / average shareholders funds Gross cashflow = adjusted net profit + depreciation *equivalent fully paid ordinary weighted average number of shares All Reported numbers for Australian/NZ listed stocks are modelled under IFRS (International Financial Reporting Standards).

Recommendation proportions for quarter ending 31 Mar 2026

	AU/NZ	Asia	USA	
Outperform	66.90%	69.32%	67.14%	(for global coverage by Macquarie, 1.93% of stocks followed are investment banking clients)
Neutral	27.18%	17.21%	32.86%	(for global coverage by Macquarie, 0.40% of stocks followed are investment banking clients)
Underperform	5.92%	13.47%	0.00%	(for global coverage by Macquarie, 0.00% of stocks followed are investment banking clients)

Company-Specific Disclosures

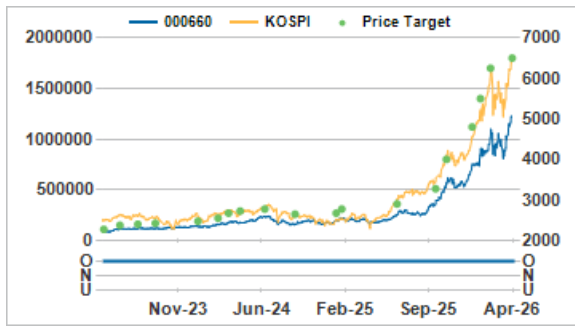
Company Name	Disclosure
SK Hynix (000660 KS) Outperform 12-month target: KRW1,800,000 - PER Valuation: KRW 1,800,000 - PER Price: KRW1,225,000	Macquarie has provided non-investment banking non-securities services to SK Hynix Inc in the past 12 months, for which it received compensation.

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Recommendation history

Company name	Date	Recommendation	Target price
SK Hynix (000660 KS)	24-Apr-2026	Outperform	KRW 1800000.00
	25-Feb-2026	Outperform	KRW 1700000.00
	29-Jan-2026	Outperform	KRW 1400000.00
	7-Jan-2026	Outperform	KRW 1120000.00
	30-Oct-2025	Outperform	KRW 800000.00
	1-Oct-2025	Outperform	KRW 510000.00
	20-Jun-2025	Outperform	KRW 360000.00
	23-Jan-2025	Outperform	KRW 310000.00
	8-Jan-2025	Outperform	KRW 270000.00



20-Sep-2024	Outperform	KRW 260000.00
1-Jul-2024	Outperform	KRW 310000.00
26-Apr-2024	Outperform	KRW 290000.00
26-Mar-2024	Outperform	KRW 270000.00
27-Feb-2024	Outperform	KRW 220000.00
4-Jan-2024	Outperform	KRW 190000.00
12-Sep-2023	Outperform	KRW 170000.00
27-Jul-2023	Outperform	KRW 160000.00
9-Jun-2023	Outperform	KRW 150000.00
27-Apr-2023	Outperform	KRW 110000.00

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